IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 44 (ND) of 2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

ADGYDE SOLUTIONS PRIVATE LIMITED
206, First Floor, Plot No. 190-191, Neelkanth Palace, 252-A, Sant Nagar, New Delhi -110065

....Applicant No. 1/Transferor Company

AND

MOMAGIC INCUBATION PRIVATE LIMITED
206, First Floor,Plot No. 190-191, Neelkanth Palace, 252-A, Sant Nagar, New Delhi -110065

....Applicant No. 2/Transferor Company No. 2

WITH

GREEN WOODCRAFTS PRIVATE LIMITED
I-9 LGF, Lajpat Nagar, Part-III,
New Delhi-110024

....Applicant No. 3/Transferee Company

ORDER DELIVERED ON: 08.06.2022

CORAM:
MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)

MR. HEMANT KUMAR SARANGI, MEMBER (TECHNICAL)

PRESENT:

For Petitioner(s): Adv. GP Madaan, Adv. Suman Kumar Jha and Adv. S. Shiva

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Arrangement (for brevity "The Scheme") proposed between the Applicant Companies.In terms of Sections 230 and 232 of the Act following prayers have been made for orders:-

a) *To allow present application;*
b) *To issue directions for dispensation of the meeting of Equity Shareholders of Transferor Company 1, Transferor Company 2 and Transferee Company;*
c) *To issue directions for dispensation of meeting of Unsecured Creditors of Transferor Company 1, Transferor Company 2 and Transferee Company;*
d) *Pass such other and further Ordersas this Hon'ble Tribunal may deem fit in the facts and circumstances of the case.*

2. That an Affidavit in support of the application sworn for and on behalf of the Applicant Companies has been filed by Mr. Arun Kumar Gupta being the authorized signatory.

3. That it is represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules. It is also represented that the registered offices of the Applicant Companies is

situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be **01.04.2021**.

5. That the Transferor Company No. 1-ADGYDE SOLUTIONS PRIVATE LIMITED was incorporated on 28.04.2016 in the state of Delhi under the provisions of Companies Act, 2013. The authorised share capital of the Company is Rs.3,24,00,000/- only divided into 32,40,000/- equity shares of Rs. 10 each. The issued, subscribed and paid-up share capital of the Company is Rs. 3,23,10,000/- divided into 32,31,000 equity shares of Rs. 10/- each.

6. That the Transferor Company No. 2-MOMAGIC INCUBATION PRIVATE LIMITED was incorporated on 11.05.2016 in the state of Delhi under the provisions of Companies Act, 2013. The authorised share capital of the Company is 2,95,30,000/- only divided into 29,53,000 equity shares of Rs. 10 each. The issued, subscribed and paid-up share capital of the Company is Rs. 2,95,24,440/- divided into 29,52,444 equity shares of Rs. 10/- each.

7. That the Transferee Company- MOMAGIC TECHNOLOGIES PRIVATE LIMITED was incorporated on 04.03.2011 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 6,60,00,000/- divided into 1,10,00,000equity shares of Rs. 6/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 6,36,25,854/- divided into 1,06,04,309equity shares of Rs. 6/- each.

8. That the Board of Directors of the Applicant Companies vide meetings held on 10.11.2021 have unanimously approved the proposed Scheme of Arrangement. Copies of such resolutions passed thereat have been placed on record.

9. That in relation to the Transferor Company No. 1, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the Equity Shareholders have been obtained constituting 100% in value and 100% in number. It is further represented that the Transferor Company has NIL Secured Creditor and 1 Unsecured Creditor and consent affidavit from the Unsecured Creditor has been obtained.

10. That in relation to the Transferor Company No. 2, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the Equity Shareholders have been obtained constituting 100% in value and 100% in number. It is further represented that the Transferor Company has NIL Secured Creditor and 1 Unsecured Creditor and consent affidavit from the Unsecured Creditor has been obtained.

11. That in relation to the Transferee Company, it has been represented that the company has 6 Equity Shareholders and consent affidavits from 5 Equity Shareholders have been placed on record constituting 90% of the total value of the shareholding in the Transferee Company. It is further represented that the Transferee Company has NIL Secured Creditors and 62 Unsecured Creditors and the consent affidavits of 11 Unsecured Creditors constituting more than 90% of the total value have been placed on record.

12. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021.

13. That the Applicant Companies have filed the Affidavit dt.10.05.2022u/s 230(2)(a) of the Act that no inspection, inquiry or investigation is pending against any of the applicant companies.

14. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the Scheme is in conformity with Section 133 of the Companies Act, 2013.

15. That it is submitted that both the Transferor Companies are wholly owned subsidiaries of Transferee Company. Hence, inconsideration Transferee Company will not issue any shares under the Scheme of Arrangement of Amalgamation. The existing holding of Transferee Company in Transferor Company No. 1 and Transferor Company No. 2 will be cancelled pursuant to the Scheme of Arrangement. Accordingly, valuation report is not required to be obtained for the present Scheme of Amalgamation.

16. We have perused the application and the enclosed documents filed along with the Scheme of Arrangement contemplated between the Companies.

17. In sequel to above and in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. **In relation to the Transferor Company No.1:**

i. With respect to Shareholders:

Since the consent affidavits of both Shareholders have already been placed on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Sincethere are NIL Secured Creditors, therefore, the requirement of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since theconsent affidavit of the Unsecured Creditorhas already been placed on record, therefore, the necessity of convening and holding a meeting is dispensed with.

B. **In relation to the Transferor Company No. 2:**

i. With respect to Shareholders:

Since the consent affidavits of both Shareholders have already been placed on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Sincethere are NIL Secured Creditors, therefore, the requirement of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since the consent affidavit of the Unsecured Creditor has already been placed on record, therefore, the necessity of convening and holding a meeting is dispensed with.

C. **In relation to the Transferee Company:**

i. With respect to Shareholders:

We have already observed in the aforesaid paragraphs that all the shareholders of the Transferee Company have not given their consent. We further observe that out of six (06) equity shareholders, only five (05) equity shareholders have given their consent. At this juncture, we would like to refer to Section 230(9) of the Companies Act, 2013 which authorize the Tribunal to dispense with the calling of meeting of a creditor or class of Creditors, if atleast 90% value of the Creditors or class of Creditors have given their consent to dispense with the calling of a meeting of the Creditor in class.

The Learned Counsel appearing for the Petitioner by placing reliance upon the Section 230(9) of the companies Act, 2013 submitted that since 90% of the shareholders have given their consent, therefore, the calling off a meeting of the shareholders of a Transferee Company may be dispensed with. We are unable to accept the contention of the petitioner that like the Creditor or the class of Creditors, the calling off a meeting of the shareholders may also be dispensed with, if 90% of the shareholders have given their consent. It is seen from the provision of law that there is no specific provision under the Companies Act to dispense with the meeting of the shareholders but applying the judicial precedence, the Tribunal dispense with the calling of the meeting of the shareholders if all the shareholders gave their consent.

Here in the case in hand, since out of six (06) only five (05) shareholders have given their consent, therefore, in our considered view that the prayer of the petitioner to dispense with the calling of the meeting of the shareholders of Transferee Company is not liable to be accepted.

Accordingly, the meeting of Shareholders of the Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 60 days of this order. The Quorum of the meeting shall be 75% in value. The Chairman shall fix the date, time and venue of the meeting.

D. In case the quorum as noted above for the aforesaid meeting are not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the representative of the members may be appointed for the purpose of voting through remote e-voting or for participation and voting in the meeting held through video conferencing or OAVM.

E. Ms. Aishwarya Pandey (Mob.: 9971349117) is appointed as the Chairperson, Mr. Mohit Nandwani, (Mob.: 9899937993) is appointed as the Alternate Chairperson and Mr. Arunesh Kumar Dubey, ACS (email id: csarunesh@gmail.com) is appointed as the Scrutinizer for the aforesaid meeting in terms of the direction issued herein.

F. The fee of the Chairperson for the aforesaid meeting shall be Rs. 75,000/-, the fee of the Alternate Chairperson for the aforesaid meeting shall be Rs. 50,000/- and the Scrutinizer for the aforesaid meeting shall be Rs. 50,000/- each in addition to meeting their incidental expenses.

G. The individual notices of the said meeting shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of amalgamation and a copy of explanatory statement. The notice convening meeting shall be uploaded on the website of the Transferee Company. In addition to the above any other documents

as may be prescribed under the Act or rules shall also be sent with the notice of the meetings.

H. That the Transferee Company shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi Editions of "Financial Express" in English and "Financial Express" Hindi stating that the Copies of the Scheme, the Explanatory Statement required to be furnish pursuant to Section 230 of the Companies Act, 2013 shall be provide free of charge at the Registered Office of the Transferee Company.

I. Voting shall be allowed on the proposed Scheme by voting in person or through electronic means which includes remote voting or e-voting as may be applicable to the respective company under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

J. Notice of this Meeting shall also be served on the following authorities: -

   a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

   b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

   c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

   d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income

Tax authorities shall disclose sufficient details like PAN card numbers, ward numbers and assessing officers so that timely and proper reply may be filed;

e. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the Transferee Company.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Transferee Company.

ii. With respect to Secured Creditors:

Since there are NIL Secured Creditors, therefore, the requirement of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since the consent affidavits of 11 out of 62 Unsecured Creditors constituting 90.11% of the total value have already been placed on record, therefore, the necessity of convening and holding a meeting is dispensed with.

18. Accordingly, CA (CAA) 44 (ND) of 2022 is disposed of.

Sd/-

(HEMANT KUMAR SARANGI)

Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)

Member (J)